EOS-34 · MIDDLE OFFICE · RISK GOVERNANCE

Valuation & Model Risk

Model inventory · Methodology per asset class · Independent check protocol · Sensitivity & stress frameworks · Mark-to-market cadence

MIDDLE OFFICE | INSTITUTIONAL | PARTNER ONLY | CONFIDENTIAL

MODELS IN INVENTORY	TIER-1 UNDER INDEP. CHECK	VALUATION DISCREPANCIES YTD	AVG METHODOLOGY SCORE	NEXT QUARTERLY MARK	STRESS SCENARIOS LIVE
17	6 / 6	3	4.2/5	30 Jun	9
11 primary · 6 secondary	100% coverage	all < 75bps tolerance	IPEV + AVCAL aligned	Q2 FY26 close	3 per asset class

PARTNER-TO-PARTNER READ

Valuation is not a back-office function — it is the substrate under every fee, every LP report and every IC defence. If the model is wrong, the economics are wrong. We run a small inventory of models, but every Tier-1 model passes through an independent check before the mark books. No exceptions.

Model Governance Ladder

4 tiers · Risk-proportionate oversight

TIER 1 — CRITICAL
Fee & Transaction Models
Drives invoicing, LP reporting, IC decisions. Full IVA independent check required. Quarterly re-mark. 6 models in scope.
IVA REQUIRED

TIER 2 — MATERIAL
Deal Models & Pipeline
Drives pricing, term sheet decisions, hedging. Peer review by counsel or co-advisor. Monthly sense-check. 5 models.
PEER REVIEW

TIER 3 — MONITORING
Portfolio & Covenant
Drives covenant compliance and watchlist triggers. Auto-run monthly, exception-driven review. 4 models.
EXCEPTION-BASED

TIER 4 — INTERNAL
Firm & Management
P&L forecast, cash flow, capacity model. Owner-reviewed only. No external dependency. 2 models.
OWNER REVIEW

Model Inventory · Register of Record

17 models · 11 primary · 6 secondary

MODEL ID	MODEL NAME	ASSET CLASS	TIER	OWNER	LAST REVIEW	INDEP. CHECK	NEXT RE-MARK	STATUS
ACP-VM-001	Private Credit Fee Waterfall	Private Credit	T1	JT	15 Apr 26	Kroll IVA	30 Jun 26	Clean
ACP-VM-002	Infra Equity DCF + Multiples	Infrastructure	T1	JT	12 Apr 26	A&M	30 Jun 26	Clean
ACP-VM-003	M&A Sell-Side Valuation Range	M&A	T1	JT	08 Apr 26	Kroll IVA	30 Jun 26	Clean
ACP-VM-004	Upstream O&G NAV	Energy	T1	JT	02 Apr 26	Ryder Scott	30 Jun 26	Reserve Update
ACP-VM-005	JV/DevCo Earnout Waterfall	Structured	T1	JT	20 Mar 26	Kroll IVA	30 Jun 26	Clean
ACP-VM-006	Capital Placement IRR Model	Cross-Asset	T1	JT	18 Apr 26	A&M	30 Jun 26	Clean
ACP-VM-007	Deal Pricing & Term Sheet Tool	Cross-Asset	T2	JT	17 Apr 26	Simon Ting	31 May 26	Clean
ACP-VM-008	Critical Minerals LOM Model	Critical Min.	T2	JT	10 Apr 26	SRK Consulting	31 May 26	Clean
ACP-VM-009	Data Centre Levered Cash Flow	Digital Infra	T2	JT	05 Apr 26	A&M	31 May 26	Power Input TBC
ACP-VM-010	FX Hedge Overlay (AUD/USD)	Markets	T2	JT	22 Apr 26	Money Penny Cap.	15 May 26	Clean
ACP-VM-011	Covenant Compliance Checker	Portfolio	T2	JT	20 Apr 26	Internal	Monthly	Clean
ACP-VM-012	Watchlist Trigger Engine	Portfolio	T3	JT	20 Apr 26	Internal	Monthly	Clean
ACP-VM-013	Portfolio IRR Roll-Forward	Portfolio	T3	JT	20 Apr 26	A&M (spot)	Monthly	Clean
ACP-VM-014	Mark-to-Market (Tier 1 positions)	Portfolio	T3	JT	15 Apr 26	IVA Schedule	Quarterly	Clean
ACP-VM-015	Concentration & Exposure Map	Portfolio	T3	JT	18 Apr 26	Internal	Monthly	Clean
ACP-VM-016	Firm P&L & Cash Flow Forecast	Firm	T4	JT	20 Apr 26	Internal	Monthly	Clean
ACP-VM-017	Capacity & Mandate Load Model	Firm	T4	JT	15 Apr 26	Internal	Monthly	Clean

Valuation Methodology by Asset Class

IPEV · AVCAL · ILPA aligned

Private Credit

IPEV PRIMARY

PRIMARY	Amortised cost less expected credit loss (Stage 1/2/3 IFRS 9)
SECONDARY	DCF at market credit spread if covenant breach or watchlist tier
BENCHMARK	Cliffwater Direct Lending Index · Proskauer Private Credit Insights
DISCOUNT RATE	BBSW + credit spread + illiquidity premium (100-200bps)
INDEP. CHECK	Kroll IVA quarterly

> *"Hold at par until credit event. Mark down swiftly, mark up sparingly — LPs distrust models that recover too quickly."*

Origination hook: quarterly spread commentary to LP base = distribution channel for next fund.

Infrastructure Equity

IPEV PRIMARY

PRIMARY	DCF with project-specific WACC + asset-level build-out curve
SECONDARY	Comparable transactions (EV/MW, EV/EBITDA) · Public comps sanity-check
BENCHMARK	Global Infra Investor · Preqin Infra · EDHEC-Risk Infra
DISCOUNT RATE	Risk-free + infra risk premium (250-450bps) + country overlay
INDEP. CHECK	A&M valuation opinion quarterly

> *"Infra is built to a curve. If the curve slips, value slips. Never book 'expected COD' — always book actual milestones."*

Origination hook: sector multiples benchmark builds thought-leadership edge.

M&A / Special Situations

IPEV PRIMARY

PRIMARY	Football-field valuation: DCF + Comps + Precedents + LBO
SECONDARY	Liquidation / recovery analysis for distressed transactions
BENCHMARK	Dealogic · Mergermarket · S&P Capital IQ
DISCOUNT RATE	Target WACC + size premium (50-200bps) + illiquidity (200-400bps)
INDEP. CHECK	Kroll IVA for indicative values pre-LOI

> *"Valuation range, not point. IC sees low / central / high with drivers — never a single number dressed as certainty."*

Origination hook: pricing discipline on sell-side builds sponsor-side credibility.

Upstream Oil & Gas

SPE / PRMS

PRIMARY	NAV by reserve category (1P/2P/3P) at strip + LT price deck
SECONDARY	EV/flowing barrel · EV/2P · EV/EBITDA comp check
BENCHMARK	Wood Mac · Rystad · S&P Global Commodity Insights
DISCOUNT RATE	PV10 convention + country risk (0-500bps) + basin risk
INDEP. CHECK	Ryder Scott / Netherland Sewell reserves certification

> *"Reserves are the book. Never take client-provided reserves at face value — always require independent certification before marking."*

Origination hook: NAV bridge commentary drives re-pricing conversations with sponsors.

Critical Minerals

JORC / NI 43-101

PRIMARY	LOM NAV at forward price curve + CAPEX intensity adj
SECONDARY	EV/Resource · EV/Annual Production comps
BENCHMARK	Benchmark Mineral Intelligence · Wood Mac Metals · Fastmarkets
DISCOUNT RATE	10-15% real (pre-tax) depending on stage + jurisdiction overlay
INDEP. CHECK	SRK Consulting / Behre Dolbear technical report

> *"Pre-production assets are policy assets. Discount to reality of off-take, permit, and CAPEX inflation — not management optimism."*

Origination hook: jurisdictional-risk overlay is proprietary content for policy-sensitive LPs.

Digital Infrastructure

IPEV / IDC

PRIMARY	Lease-up adjusted DCF + EV/MW critical IT load
SECONDARY	EV/EBITDA (stabilised) · Public data centre REIT comps
BENCHMARK	Structure Research · Synergy · Data Centre Dynamics · 451 Research
DISCOUNT RATE	Infra WACC + greenfield premium (100-250bps) + power-constraint overlay
INDEP. CHECK	A&M + independent engineer review (power & cooling)

> *"Power access determines value more than floor space. Always check grid connection status before marking stabilised."*

Origination hook: power-corridor analysis distinguishes us from generalist infra pitchers.

Sensitivity & Stress Framework

9 scenarios · 3 per asset class · bps impact on IRR

Private Credit · Stress Suite

SCENARIO	-200BPS	-100BPS	BASE	+100BPS	+200BPS
Credit spread widening	+420bps	+210bps	0	-185bps	-360bps
Default rate step-up	+85bps	+40bps	0	-125bps	-310bps
Prepayment acceleration	-45bps	-20bps	0	+15bps	+35bps

Infra Equity · Stress Suite

SCENARIO	-20%	-10%	BASE	+10%	+20%
CAPEX overrun	+280bps	+140bps	0	-165bps	-340bps
COD slippage (months)	+95bps	+45bps	0	-110bps	-230bps
Exit multiple compression	+325bps	+155bps	0	-145bps	-290bps

Upstream O&G · Stress Suite

SCENARIO	US$50/BBL	US$60/BBL	US$75 (BASE)	US$90/BBL	US$110/BBL
WTI price shift	-520bps	-245bps	0	+225bps	+485bps
Decline rate +/- 200bps	-180bps	-85bps	0	+90bps	+180bps
Opex inflation +/- 10%	-75bps	-35bps	0	+30bps	+65bps

Independent Check Protocol

Four-eyes governance · Tier-1 models · Pre-invoice gate

01 · SCOPE AGREEMENT

For every Tier-1 model, ACP circulates an Indicative Value Memo (IVM) to the Independent Valuation Agent (IVA) at least 10 business days before the mark date. IVM includes all assumptions, inputs, and methodology.

02 · PARALLEL RUN

IVA builds a parallel valuation using their own assumptions where reasonable. Discrepancies beyond 75bps trigger a reconciliation meeting — ACP justifies each material input.

03 · SIGN-OFF MEMO

IVA issues a signed memorandum confirming the valuation is within a defensible range. Copy goes to mandate counsel, copy to LP if required, filed to Notion Documents & Packs DB.

04 · PRE-INVOICE GATE

No success fee invoice issues until the IVA memo lands. No LP distribution issues until the IVA memo lands. The memo is the gate — not the number.

05 · EXCEPTION LOG

Any material discrepancy (>75bps) is logged in the Valuation Exception Register with root cause, resolution, and process fix. Zero tolerance for repeat exceptions.

06 · METHODOLOGY REFRESH

Every 12 months, methodology paper goes through ACP governance review against IPEV, AVCAL, ILPA latest guidance. Material changes flagged to LPs in next quarterly.

07 · MODEL VERSION CONTROL

Every Tier-1 and Tier-2 model lives in Notion Templates Library with version history. Changes require reason, author, date, and peer sign-off before deployment.

08 · BACK-TESTING CYCLE

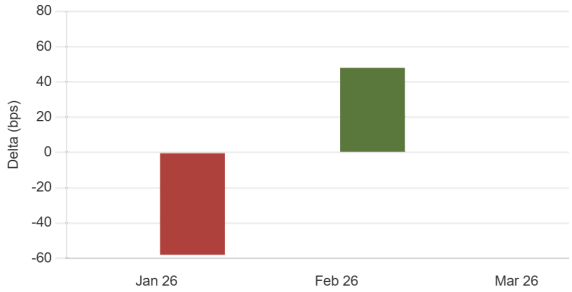
Annual back-test: realised vs. marked value per Tier-1 model. Persistent bias in either direction triggers methodology revision. Results form part of annual valuation review.

Quantitative View

Model distribution · Discrepancy history · Mark cadence

Model Inventory by Tier

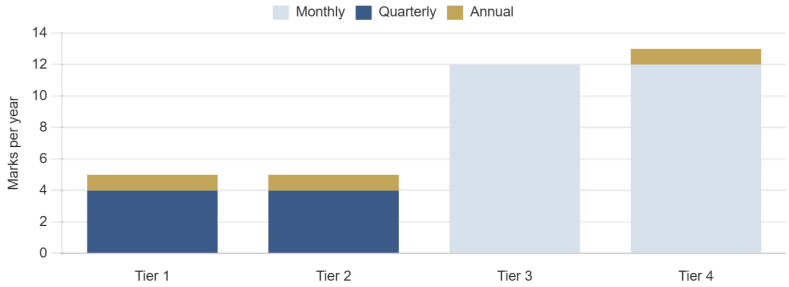
YTD Valuation Discrepancy (bps vs. IVA)



Methodology Score by Asset Class (of 5)

BLUE = IPEV PRIMARY · GOLD = SPECIALIST FRAMEWORK · CHAR = INTERNAL

Mark-to-Market Cadence by Tier



Mark-to-Market Calendar

Rolling 12-month valuation cycle

CYCLE	SCOPE	IVA ENGAGED	DELIVERABLE	DUE
Monthly	Tier 2 & 3 models · Pipeline & Portfolio sense-check	Internal / spot A&M	Internal mark report	Last business day
Quarterly	All Tier-1 models · Fee & LP reporting marks	Kroll IVA + A&M	Full IVA memo pack	30 Jun 26 · Q2
Quarterly	Upstream O&G reserves refresh	Ryder Scott	Reserve certification	15 Jul 26
Semi-Ann.	Critical Minerals resource / LOM	SRK Consulting	Technical report	30 Sep 26
Annual	Methodology review · All Tier-1	Governance review	Methodology paper	31 Dec 26
Annual	Back-test realised vs. marked	Internal + IVA review	Back-test memo to LPs	31 Jan 27
Event	Any covenant breach or watchlist Tier-2	IVA triggered	Event-driven valuation	Within 5 BD
Event	Any success-fee invoice above A$500k	IVA pre-invoice gate	Memo before invoice	T-3 BD of invoice

Valuation Exception Register · YTD FY26

3 exceptions · all within tolerance · zero IC-level escalations

DATE	MODEL	ASSET	ACP MARK	IVA MARK	DELTA (BPS)	ROOT CAUSE	RESOLUTION	STATUS
22 Jan 26	VM-004	Upstream O&G mandate · Perth Basin	A$92.4M	A$89.8M	-58 bps	Strip curve cutoff date mismatch (2 trading days)	Methodology update: standardised cutoff = last BD of month	● Closed
15 Feb 26	VM-002	Infra equity · Solar + BESS (NSW)	A$215.0M	A$217.4M	+48 bps	A&M applied tighter WACC (12.8% vs. 13.2%)	Accepted A&M as binding mark; methodology note updated	● Closed
08 Apr 26	VM-009	Data centre DevCo · Sydney South	A$148.0M	A$152.8M	+72 bps	Power corridor firm-up improved capacity assumption	Methodology gate: power confirmation letter required pre-mark	● Closed